# Palo Alto Networks, Inc. (PANW)
## Platformization at Scale

Palo Alto Networks, Inc. screens as a Hold with a $322.50 blended target, 5% below the current price.

**Analyst: Justin Wen**

| HOLD | $322.50 | -5% | $340.28 |
|---|---|---|---|
| INVESTMENT RATING | BLENDED TARGET | BLENDED UPSIDE | REFERENCE PRICE |

Platformization at Scale. NGS ARR at $9.1B growing 63% proves enterprises are consolidating on PANW's platform; $21.2B RPO (+34%) locks in multi-year visibility [Research]. Cash Machine Inflecting. 38.4% FCF margins heading to 40%+ with net cash on the balance sheet; software mix shift structurally expands margins [Research, Mkt 18-Oct-26]. Reasonable Entry After Derating. DCF suggests fair value near $317 vs $342 spot; not cheap, but the 15% pullback from highs offers a better entry into a wide-moat compounder [DC

## The latest print

**Cash Machine Inflecting.** 38.4% FCF margins heading to 40%+ with net cash on the balance sheet; software mix shift structurally expands margins.

**Reasonable Entry After Derating.** DCF suggests fair value near $317 vs $342 spot; not cheap, but the 15% pullback from highs offers a better entry into a wide-moat compounder.

| $11.48B | $9.1B | $21.2B | $4.24B | 70.4% | Net cash $0.5B |
|---|---|---|---|---|---|
| REVENUE (FY26) | NGS ARR | TOTAL RPO | FREE CASH FLOW (FY26) | GROSS MARGIN | NET DEBT POSITION |

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (FY26)** | $11.48B | +34.5% YoY | Up |
| **NGS ARR** | $9.1B | +63% YoY | Up |
| **Total RPO** | $21.2B | +34% YoY | Up |
| **Free Cash Flow (FY26)** | $4.24B | 38.4% FCF margin | Up |
| **Gross Margin** | 70.4% | Software mix | Stable |
| **Net Debt Position** | Net cash $0.5B | $2.57B debt vs $3.07B cash | Strong |

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Palo Alto Networks, Inc. valuation framework

## The moat

Platformization: consolidating fragmented security stacks into unified AI-native platform; NGS ARR $9.1B +63% YoY proves the motion is working.

## The growth engine

GenAI security tailwind: AI-driven workflows expanding the TAM; enterprises need new security for AI deployments.

## Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

| SCENARIO | WEIGHT | 2027-31 CAGR | 2031 REVENUE | 2031 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|---|
| **Bear** | 25% | 16.5% | $24.64B | 47.0% | **$210.94** | -38% |
| **Base** | 50% | 19.5% | $27.98B | 51.0% | **$316.98** | -7% |
| **Bull** | 25% | 23.0% | $32.32B | 55.0% | **$445.12** | +31% |

**Bear:** downside case at $210.94 (-38%).

**Base:** central case at $316.98 (-7%).

**Bull:** upside case at $445.12 (+31%).

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# The probability-blended target implies 5% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -5% from the $340.28 reference price.

**$322.50**
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

| | |
|---|---|
| Valuation horizon | **2027-2031** |
| Live WACC | **8.53%** |
| WACC path (Year 1 to final year) | **8.53% to 8.22%** |
| Terminal growth | **3.5% / 4.5% / 5.0%** |
| Net cash | **$504M** |
| 2031 FCF (Base) | **$12.04B** |
| 10-year Treasury yield | **5.1%** |
| Beta | **0.93** |
| Equity risk premium | **3.7%** |

**HOLD | $322.50 blended target | Wen**

## The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 21.5%. at/above Base (19.5%) — constructive

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|
| -20% | $40.8B | $50.44 | +0% | $110.9B | $136.25 | +20% | $261.6B | $320.39 |
| -19% | $43.0B | $53.20 | +1% | $116.2B | $142.64 | +21% | $272.1B | $333.31 |
| -18% | $45.4B | $56.08 | +2% | $121.6B | $149.29 | **+22%** | **$283.1B** | **$346.66** |
| -17% | $47.8B | $59.10 | +3% | $127.3B | $156.18 | +23% | $294.3B | $360.44 |
| -16% | $50.4B | $62.26 | +4% | $133.1B | $163.35 | +24% | $306.0B | $374.66 |
| -15% | $53.1B | $65.57 | +5% | $139.2B | $170.78 | +25% | $318.0B | $389.34 |
| -14% | $56.0B | $69.02 | +6% | $145.5B | $178.49 | +26% | $330.4B | $404.48 |
| -13% | $58.9B | $72.63 | +7% | $152.0B | $186.49 | +27% | $343.1B | $420.11 |
| -12% | $62.0B | $76.40 | +8% | $158.8B | $194.78 | +28% | $356.3B | $436.22 |
| -11% | $65.2B | $80.34 | +9% | $165.9B | $203.38 | +29% | $369.9B | $452.83 |
| -10% | $68.6B | $84.44 | +10% | $173.1B | $212.29 | +30% | $383.9B | $469.95 |
| -9% | $72.1B | $88.73 | +11% | $180.7B | $221.51 | | | |
| -8% | $75.7B | $93.19 | +12% | $188.5B | $231.06 | | | |
| -7% | $79.5B | $97.85 | +13% | $196.6B | $240.95 | | | |
| -6% | $83.5B | $102.70 | +14% | $205.0B | $251.19 | | | |
| -5% | $87.6B | $107.75 | +15% | $213.6B | $261.78 | | | |
| -4% | $91.9B | $113.01 | +16% | $222.6B | $272.74 | | | |
| -3% | $96.4B | $118.48 | +17% | $231.9B | $284.07 | | | |
| -2% | $101.1B | $124.17 | +18% | $241.4B | $295.78 | | | |
| -1% | $105.9B | $130.09 | +19% | $251.3B | $307.88 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | EXIT EV/ FCF | TERMINAL GROWTH | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|---|---|
| **Bear** | $172.04B | — | 3.5% | $504M | $172.55B | **$210.94** |
| **Base** | $258.79B | — | 4.5% | $504M | $259.29B | **$316.98** |
| **Bull** | $363.60B | — | 5.0% | $504M | $364.11B | **$445.12** |

## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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| SCENARIO | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 |
|---|---|---|---|---|---|---|
| **Bear** | $210.94 | $228.93 | $241.89 | $254.60 | $266.90 | $278.46 |
| **Base** | $316.98 | $344.02 | $366.05 | $388.26 | $410.39 | $432.03 |
| **Bull** | $445.12 | $483.09 | $516.18 | $549.93 | $583.98 | $617.97 |

*Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $322.50 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.*

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# The franchise deep dive

Platformization: consolidating fragmented security stacks into unified AI-native platform; NGS ARR $9.1B +63% YoY proves the motion is working.

GenAI security tailwind: AI-driven workflows expanding the TAM; enterprises need new security for AI deployments.

Vendor consolidation: macro scrutiny favors best-of-suite over best-of-breed; PANW's three-pillar suite (Strata/Prisma/Cortex) captures this.

RPO $21.2B +34% YoY provides multi-year revenue visibility; cRPO $9.3B covers near-term growth.

## Revenue and margin trend

| METRIC | FY22 | FY23 | FY24 | FY25 | FY26 |
|---|---|---|---|---|---|
| **Revenue ($B)** | 5.50 | 6.89 | 8.03 | 9.22 | 11.48 |
| **Revenue growth %** | 29% | 25% | 16% | 15% | 25% |
| **FCF ($B)** | n/a | n/a | n/a | n/a | 4.24 |
| **NGS ARR ($B)** | n/a | n/a | n/a | 5.6 | 9.1 |

## Valuation cross-check

P/E (fwd) 70.1x

DCF Base $317

PEG 1.75

EV/Revenue 24.3x

DCF implies 7% downside at $342. Forward earnings price high growth; GAAP P/E (855x) is meaningless due to SBC-depressed earnings.

CRWD 141x fwd P/E, 42x EV/Rev

FTNT 45x fwd P/E, 16x EV/Rev

ZS 37x fwd P/E, 9.6x EV/Rev

PANW sits between FTNT's value and CRWD's hypergrowth premium; justified by superior FCF margins (37% vs CRWD 26%).

EV/Revenue 24.3x

Premium to historical software multiples

Multiple reflects NGS hypergrowth; any deceleration would compress it toward the 15-18x mature software range.

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## What to monitor

**Nov 2026.** Q1 FY27 earnings. NGS ARR trajectory toward $10B+ milestone and platformization deal momentum in focus.

**Ongoing.** Large enterprise platform consolidation wins displacing point solutions (CRWD, ZS, FTNT) as CIOs cut vendor sprawl.

**FY27.** Progress toward 40% adjusted FCF margin target by FY28 (from 38.4% in FY26).

## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| **2021** | $4.3B | $3.0B | $-304M | — |
| **2022** | $5.5B | $3.8B | $-189M | — |
| **2023** | $6.9B | $5.0B | $387M | $869M |
| **2024** | $8.0B | $6.0B | $684M | $1.3B |
| **2025** | $9.2B | $6.8B | $1.2B | $1.9B |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| **2021** | $10.2B | $9.5B | $634M | $1.9B |
| **2022** | $12.3B | $12.0B | $210M | $2.1B |
| **2023** | $14.5B | $12.8B | $1.7B | $1.1B |
| **2024** | $20.0B | $14.8B | $5.2B | $1.5B |
| **2025** | $23.6B | $15.8B | $7.8B | $2.3B |

## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| **2021** | $1.5B | — | $-1.1B | — |
| **2022** | $2.0B | — | $-807M | — |
| **2023** | $2.8B | $-146M | $-1.7B | $2.6B |
| **2024** | $3.3B | $-157M | $-1.3B | $3.1B |
| **2025** | $3.7B | $-247M | $-779M | $3.5B |

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*Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $322.50 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.*

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# Agency risk score 48 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.75% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $47.89M of sales, a net flow of -$47.89M. One-year total shareholder return is +58.7% against CEO total pay of $4.88M (Mr. Nikesh Arora C.F.A.), which the model scores as PERFORMANCE EARNED.

**48**

AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 8 / 40 | 0.75% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 14 / 30 | Buys $0 (0) vs sales $47.89M (19), net -$47.89M, trailing six months |
| **Pay-for-Performance** | 26 / 30 | PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +58.7%; Mr. Nikesh Arora C.F.A., Chairman & CEO, total pay $4.88M |
| **Agency Risk Score** | **48 / 100** | Regime: BALANCED / TYPICAL CORPORATE |

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## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-10-01** | Paul Joshua D. | Officer | SELL | 400 | $158.3K |
| **2026-09-24** | Golechha Dipak | Chief Financial Officer | SELL | 27,500 | $10.77M |
| **2026-09-24** | Bawa Aparna | Director | SELL | 260 | $102.1K |
| **2026-09-17** | Goetz James Joseph | Director | SELL | 20,000 | $7.53M |
| **2026-09-15** | Bawa Aparna | Director | SELL | 1,500 | $562.2K |
| **2026-09-14** | Key John Phillip | Director | SELL | 2,500 | $940.1K |
| **2026-09-01** | Paul Joshua D. | Officer | SELL | 900 | $336.3K |
| **2026-08-25** | Paul Joshua D. | Officer | SELL | 900 | $318.4K |

## SEC proxy audit, DEF 14A filed 2025-11-07

**Alignment grade B.** EQUITY CAPS LOWERED POST ENGAGEMENT. Nikesh Arora, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **N/A** | N/A | N/A | N/A |

In response to shareholder feedback, the Compensation Committee reduced maximum PSU payout caps by 33.3% (from 600% to 400%) and committed to no overlapping one-time equity awards for CEO Nikesh Arora. Program design was further tightened by requiring higher NGS ARR stretch targets and increasing the relative TSR modifier target to the 55th percentile rank. While summary compensation tables are omitted from the excerpt, pay governance demonstrates strong responsiveness amid 5-year TSR substantially outpacing both peers and the S&P 500.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1327567/000130817925000624/panw-20251107.htm

*Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.*

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## The bear case

### IT spending cyclicality

Enterprise IT budget scrutiny in a macro slowdown could delay large platform deals and compress NGS ARR growth below the 22-23% guide.

### Competitive intensity

CrowdStrike (endpoint), Zscaler (SSE), and Fortinet (SMB/mid-market) compete aggressively; pricing pressure or share loss in any pillar would hurt the platform narrative.

### Elevated expectations

At 24x EV/Revenue and 70x forward P/E, the stock prices in sustained 20%+ growth. Any guide-down or NGS deceleration would likely trigger a sharp derating.

## The strengths

### Operating Quality

Elite 70% gross margins and 37% FCF margins with a fortress net-cash balance sheet. NGS ARR growing 63% confirms the software transition. GAAP operating margins (5%) are depressed by SBC and acquisition amortization, but cash generation is

### Recent Trend

Four consecutive earnings beats. Revenue compounded from $5.5B (FY22) to $11.5B (FY26) with no deceleration. RPO up 34% provides forward visibility. FCF margin expanded to 38.4%.

### Forward Growth

FY27 guidance calls for 23-24% revenue growth and 22-23% NGS ARR growth, credible given the RPO backlog and beat track record. Platformization, GenAI security, and vendor consolidation are structural multi-year drivers.

### Valuation

DCF base $317 vs $342 spot implies 7% downside. Forward P/E 70x sits between FTNT (45x) and CRWD (141x); EV/Revenue 24x is a premium that demands flawless execution. PEG 1.75 is reasonable for the growth rate.

## Cascadia scorecard

**Composite score 72: Attractive.** Confidence High, as of 2026-10-18.

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| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Elite 70% gross margins and 37% FCF margins with a fortress net-cash balance sheet. NGS ARR growing 63% confirms the software transition. GAAP operating margins (5%) are depressed by SBC and acquisition amortization, but cash generation is best-in-class. | 82 |
| **Recent Trend** | Four consecutive earnings beats. Revenue compounded from $5.5B (FY22) to $11.5B (FY26) with no deceleration. RPO up 34% provides forward visibility. FCF margin expanded to 38.4%. | 78 |
| **Forward Growth** | FY27 guidance calls for 23-24% revenue growth and 22-23% NGS ARR growth, credible given the RPO backlog and beat track record. Platformization, GenAI security, and vendor consolidation are structural multi-year drivers. | 80 |
| **Valuation** | DCF base $317 vs $342 spot implies 7% downside. Forward P/E 70x sits between FTNT (45x) and CRWD (141x); EV/Revenue 24x is a premium that demands flawless execution. PEG 1.75 is reasonable for the growth rate. | 55 |
| **Catalysts & Risk** | Near-term catalysts in NGS ARR milestones and Q1 FY27 print. Key risks are enterprise IT budget tightening, intensifying competition (CRWD/ZS/FTNT), and a multiple that leaves little room for disappointment at 24x sales. | 65 |

## Investment view

[{'text': 'NGS ARR growth falling below 20% would break the platformization thesis and likely cut the target substantially.'}, {'text': 'Sustained 25%+ NGS growth with FCF margins reaching 42%+ would support a higher multiple and a Bull-case rerating.'}]

**Investment view: Hold. The $322.50 blended target implies -5%, balancing the $210.94 / $316.98 / $445.12 Bear / Base / Bull outcomes.**

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